

Independent Auditor's Report on the Quarterly and Year to Date Audited Standalone Financial Results of the Company Pursuant to the Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended

To
**The Board of Directors of
Granules India Limited**

Report on the audit of the Standalone Financial Results**Opinion**

We have audited the accompanying statement of quarterly and year to date standalone financial results of Granules India Limited (the "Company") for the quarter and year ended March 31, 2023 ("Statement"), attached herewith, being submitted by the Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended (the "Listing Regulations").

In our opinion and to the best of our information and according to the explanations given to us, the Statement:

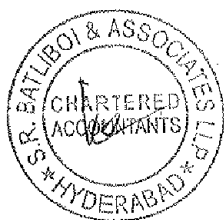
- i. is presented in accordance with the requirements of the Listing Regulations in this regard; and
- ii. gives a true and fair view in conformity with the applicable accounting standards and other accounting principles generally accepted in India, of the net profit and other comprehensive income and other financial information of the Company for the quarter and year ended March 31, 2023.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013, as amended ("the Act"). Our responsibilities under those Standards are further described in the "Auditor's Responsibilities for the Audit of the Standalone Financial Results" section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence obtained by us is sufficient and appropriate to provide a basis for our opinion.

Management's Responsibilities for the Standalone Financial Results

The Statement has been prepared on the basis of the standalone annual financial statements. The Board of Directors of the Company are responsible for the preparation and presentation of the Statement that gives a true and fair view of the net profit and other comprehensive income of the Company and other



financial information in accordance with the applicable accounting standards prescribed under Section 133 of the Act read with relevant rules issued thereunder and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Statement that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the Statement, the Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

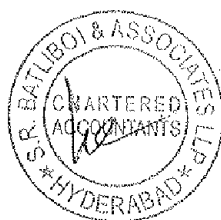
The Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Results

Our objectives are to obtain reasonable assurance about whether the Statement as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the Statement.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Statement, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Board of Directors.
- Conclude on the appropriateness of the Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a



going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial results or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the Statement, including the disclosures, and whether the Statement represents the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Other Matter

The comparative financial information of the Company for the corresponding quarter and year ended March 31, 2022, included in these standalone financial results, were audited by the predecessor auditor who expressed an unmodified opinion on those financial information on May 18, 2022.

The Statement includes the results for the quarter ended March 31, 2023 being the balancing figure between the audited figures in respect of the full financial year ended March 31, 2023 and the published unaudited year-to-date figures up to the third quarter of the current financial year, which were subjected to a limited review by us, as required under the Listing Regulations.

For S.R. BATLIBOI & ASSOCIATES LLP

Chartered Accountants

ICAI Firm Registration Number: 101049W/E300004**per Navneet Kabra**

Partner

Membership No.: 102328

UDIN: 23102328 BG SBMA 5578



Place: Hyderabad

Date: May 16, 2023



GRANULES INDIA LIMITED
Regd Office : 2nd Floor, 3rd Block, My Home Hub
Madhapur, Hyderabad 500 081
CIN:L24110TG1991PLC012471

Rs in millions

Statement of Standalone Audited Results for the quarter and year ended March 31, 2023

Sl No.	Particulars	Quarter ended			Year ended	
		31-Mar-23	31-Dec-22	31-Mar-22	31-Mar-23	31-Mar-22
		Audited (refer Note 7)	Un-Audited	Audited (refer Note 7)	Audited	Audited
	Income					
1	Revenue from operations	10,138.75	10,323.91	9,128.48	39,312.00	32,384.37
2	Other income	25.61	(9.28)	42.79	99.32	175.11
3	Total income (1+2)	10,164.36	10,314.63	9,171.27	39,411.32	32,559.48
	Expenses					
(a)	Cost of materials consumed	5,277.15	5,419.32	5,033.50	20,999.28	18,641.56
(b)	Changes in inventories of work in progress and finished goods	313.55	180.83	(173.08)	615.21	(1,064.10)
(c)	Employee benefit expenses	896.57	830.48	754.51	3,300.71	2,827.99
(d)	Finance costs	141.19	117.56	40.01	386.74	163.53
(e)	Depreciation and amortisation expense	377.69	383.21	316.83	1,455.57	1,261.61
(f)	Other expenses	1,478.52	1,507.08	1,453.86	6,014.41	5,532.42
	Total expenses	8,484.67	8,438.48	7,425.63	32,771.92	27,363.01
5	Profit before tax (3-4)	1,679.69	1,876.15	1,745.64	6,639.40	5,196.47
6	Tax expense					
a)	Current tax	414.46	501.93	441.76	1,702.06	1,335.07
b)	Deferred tax	12.34	(23.77)	11.44	(50.51)	(3.76)
	Total tax expense	426.80	478.16	453.20	1,651.55	1,331.31
7	Profit for the period (5-6)	1,252.89	1,397.99	1,292.44	4,987.85	3,865.16
8	Other comprehensive income (net of tax)					
(a)	(i) items that will not be reclassified to profit or loss	9.52	-	(10.44)	9.52	(10.43)
	(ii) income tax on (i) above	(2.40)	-	2.63	(2.40)	2.63
(b)	(i) items that will be reclassified to profit or loss	95.19	(301.20)	72.46	(72.16)	191.39
	(ii) income tax on (i) above	(23.96)	75.81	(18.24)	18.16	(48.17)
	Total other comprehensive income, net of tax	78.35	(225.39)	46.41	(46.88)	135.42
9	Total comprehensive income (7+8)	1,331.24	1,172.60	1,338.85	4,940.97	4,000.58
10	Paid-up equity share capital (Face Value of Rs. 1/- per share)	242.04	242.04	248.01	242.04	248.01
11	Other equity				26,752.57	25,058.61
12	Earnings per share (Face value Rs. 1/- each)					
(a)	Basic (in Rs.)	5.18	5.75	5.21	20.32	15.60
(b)	Diluted (in Rs.)	5.17	5.74	5.20	20.30	15.55
		(Not annualised)	(Not annualised)	(Not annualised)	(Annualised)	(Annualised)



Standalone statement of Assets and Liabilities :		Rs in millions	
Sl. No.	Particulars	As at March 31, 2023	As at March 31, 2022
		Audited	Audited
I	ASSETS		
	Non-current assets		
	a) Property, plant and equipment	12,451.04	10,977.52
	b) Right-of-use assets	109.58	125.46
	c) Capital work-in-progress	634.60	1,941.46
	d) Other intangible assets	737.34	605.35
	e) Intangible assets under development	-	163.77
	f) Financial assets		
	i) Investments	6,765.32	5,965.32
	ii) Loans	121.46	130.29
	iii) Others	239.88	124.49
	g) Income tax assets (net)	105.69	61.58
	h) Other non-current assets	688.13	324.45
	Total non-current assets	21,853.04	20,419.69
	Current assets		
	a) Inventories	5,934.14	5,907.44
	b) Financial assets		
	i) Trade receivables	13,721.88	12,104.27
	ii) Cash and cash equivalents	1,817.46	1,342.43
	iii) Bank balances other than cash and cash equivalents above	212.33	2,208.43
	iv) Other financial assets	26.60	22.33
	c) Other current assets	1,467.25	1,721.64
	Total current assets	23,179.66	23,306.54
	TOTAL ASSETS	45,032.70	43,726.23
II	EQUITY AND LIABILITIES		
	Equity		
	a) Equity share capital	242.04	248.01
	b) Other equity	26,752.57	25,058.61
	Total equity	26,994.61	25,306.62
	Liabilities		
	Non-current liabilities		
	a) Financial liabilities		
	i) Borrowings	1,486.44	2,337.01
	ii) Lease liabilities	86.98	82.81
	b) Provisions	292.56	283.10
	c) Deferred tax liabilities (net)	234.44	300.72
	Total non-current liabilities	2,100.42	3,003.64
	Current liabilities		
	a) Financial liabilities		
	i) Borrowings	7,621.75	8,135.17
	ii) Lease liabilities	35.58	52.73
	iii) Trade payables		
	(a) Total outstanding dues of micro enterprises and small enterprises	115.15	126.48
	(b) Total outstanding dues of creditors other than micro enterprises and small enterprises	7,328.79	5,941.56
	iv) Other financial liabilities	504.11	658.44
	b) Other current liabilities	96.03	157.90
	c) Provisions	146.16	228.32
	d) Income tax liabilities (net)	90.10	115.37
	Total current liabilities	15,937.67	15,415.97
	Total liabilities	18,038.09	18,419.61
	TOTAL EQUITY AND LIABILITIES	45,032.70	43,726.23



Statement of standalone cash flows :		Rs in millions	
		For the year ended March 31, 2023	For the year ended March 31, 2022
		Audited	Audited
Cash flow from operating activities			
Profit before tax		6,639.40	5,196.47
Adjustments for :			
Depreciation and amortisation expense		1,455.57	1,261.61
Bad debts written off		0.54	0.01
Allowance for doubtful trade receivables		(29.52)	(6.11)
Allowance for doubtful advances		14.41	-
Allowance for Scrips on hand		-	22.60
Loss on sale of property, plant and equipment (net)		13.82	47.83
Changes in fair value of cashflow hedges		72.85	112.12
Net gain on foreign exchange fluctuations (unrealised)		(98.09)	(119.87)
Share based compensation expense		11.91	19.41
Interest expense		386.74	163.53
Interest income		(46.36)	(129.99)
Operating profit before working capital changes		8,421.27	6,567.61
Movements in working capital:			
Increase in trade receivables		(1,453.19)	(1,712.32)
Increase in inventories		(26.70)	(1,290.47)
(Increase)/decrease in other assets		213.82	(149.21)
Increase in trade payables, other liabilities and provisions		1,253.02	814.33
Cash generated from operations		8,408.22	4,229.94
Direct taxes paid (net of refunds)		(1,771.44)	(1,427.02)
Net cash generated from operating activities	(A)	6,636.78	2,802.92
Cash flow used in investing activities			
Purchase of property, plant and equipment, intangible assets including capital work-in-progress, intangible assets under development, capital advances and payables for capital goods		(2,117.93)	(3,245.56)
Proceeds from sale of property, plant and equipment		2.02	9.79
Redemption of bank deposits		1,995.77	3.63
Investment in subsidiary		(900.00)	(50.00)
Loans repaid by subsidiaries		(3.85)	(17.86)
Loans given to subsidiaries		21.11	-
Interest received		38.36	115.48
Net cash used in investing Activities	(B)	(964.52)	(3,184.52)
Cash flow from/(used in) financing activities			
Proceeds from issuance of equity shares		27.84	32.10
Repayment of non current borrowings		(930.86)	(954.78)
Proceeds/(repayments) of current borrowings, net		(562.69)	3,029.79
Repayment of lease liability (including related interest)		(69.86)	(47.20)
Payment towards buyback transaction cost		(3,106.50)	-
Interest paid		(366.41)	(173.91)
Dividend paid on equity shares		(186.22)	(371.71)
Net cash (used in)/generated from financing activities	(C)	(5,194.70)	1,514.29
Net increase in cash and cash equivalents	(A+B+C)	477.56	1,132.69
Effect of exchange differences on translation of foreign currency cash and cash equivalents		(2.53)	9.41
Cash and cash equivalents at the beginning of the year		1,342.43	200.33
Cash and cash equivalents at the end of the year		1,817.46	1,342.43

Note: The above Statement of Cash flows has been prepared under the 'Indirect Method' as set out in Ind AS 7, 'Statement of Cash Flows'

Notes:

- The above standalone audited financial results for the quarter and year ended March 31, 2023 have been reviewed by the Audit Committee on May 15, 2023 and approved by the Board of Directors at their meeting held on May 16, 2023. The Statutory Auditors have expressed an unmodified opinion on these results.
- The Standalone audited financial results of the Granules India Limited ("Company") have been prepared in accordance with the Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 ("the Act") read with relevant rules issued thereunder ("Ind AS") and other accounting principles generally accepted in India and in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- The Company operates in one reportable business segment of Pharmaceutical products including ingredients and intermediaries.
- During the year, the Company has allotted 286,980 equity shares of Rs.1/- each, fully paid up on exercise of options by employees in accordance with the Company's Employee Stock Option Scheme(s).
- During the year, the Company has bought back 6,250,000 equity shares of Rs 1/- each, representing 2.52% of total number of equity share fully paid-up for an aggregate amount of Rs. 2,500 millions (excluding taxes and transaction cost) at Rs. 400 per share.
- The Board of Directors at their meeting held on May 16, 2023 have recommended final dividend of Rs.1.50/- per equity share of Rs.1/- each.
- The figures for the quarters ended March 31, 2023 and March 31, 2022 are the balancing numbers between audited figures in respect of the full financial years and the published unaudited year to date figures upto the end of the third quarter of the relevant financial year, which are subjected to limited review.

for and on behalf of the Board

Place : Hyderabad
Date : May 16, 2023



Dr. Krishna Prasad Chigurupati
Chairman and Managing Director
DIN : 00020180

Independent Auditor's Report on the Quarterly and Year to Date Consolidated Financial Results of the Company Pursuant to the Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended

To
The Board of Directors of
Granules India Limited

Report on the audit of the Consolidated Financial Results**Opinion**

We have audited the accompanying statement of quarterly and year to date consolidated financial results of Granules India Limited ("Holding Company") and its subsidiaries (the Holding Company and its subsidiaries together referred to as "the Group") for the quarter and year ended March 31, 2023 ("Statement"), attached herewith, being submitted by the Holding Company pursuant to the requirement of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended ("Listing Regulations")

In our opinion and to the best of our information and according to the explanations given to us and based on the consideration of the reports of the other auditors on separate audited financial statements of the subsidiaries, the Statement:

- i. includes the results of the following entities

Holding Company:

Granules India Limited

Subsidiaries:

- Granules USA, Inc.
- Granules Pharmaceuticals, Inc.
- Granules Consumer Health Inc.
- Granules Europe Limited
- Granules Life Sciences Private Limited
- Granules CZRO Private Limited (formerly known as CZRO Molecules Private Limited)

- ii. are presented in accordance with the requirements of the Listing Regulations in this regard; and
- iii. gives a true and fair view in conformity with the applicable accounting standards, and other accounting principles generally accepted in India, of the consolidated net profit and other comprehensive income and other financial information of the Group for the quarter and year ended March 31, 2023.



Basis for Opinion

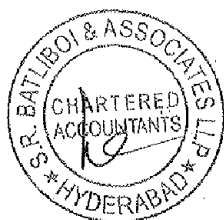
We conducted our audit in accordance with the Standards on Auditing (SAs), as specified under Section 143(10) of the Companies Act, 2013, as amended ("the Act"). Our responsibilities under those Standards are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Results" section of our report. We are independent of the Group in accordance with the 'Code of Ethics' issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence obtained by us and other auditors in terms of their reports referred to in "Other Matter" paragraph below, is sufficient and appropriate to provide a basis for our opinion.

Management's Responsibilities for the Consolidated Financial Results

The Statement has been prepared on the basis of the consolidated annual financial statements. The Holding Company's Board of Directors are responsible for the preparation and presentation of the Statement that give a true and fair view of the net profit and other comprehensive income and other financial information of the Group in accordance with the applicable accounting standards prescribed under section 133 of the Act read with relevant rules issued thereunder and other accounting principles generally accepted in India and in compliance with Regulation 33 of the Listing Regulations. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the Statement that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the Statement by the Directors of the Holding Company, as aforesaid.

In preparing the Statement, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the respective Board of Directors either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

The respective Board of Directors of the companies included in the Group are also responsible for overseeing the financial reporting process of the Group.



Auditor's Responsibilities for the Audit of the Consolidated Financial Results

Our objectives are to obtain reasonable assurance about whether the Statement as a whole is free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the Statement.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the Statement, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Board of Directors.
- Conclude on the appropriateness of the Board of Directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Statement or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Statement, including the disclosures, and whether the Statement represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial results/financial information of the entities within the Group of which we are the independent auditors to express an opinion on the Statement. We are responsible for the direction, supervision and performance of the audit of the financial information of such entities included in the Statement of which we are the independent auditors. For the other entities included in the Statement, which have been audited by other auditors, such other auditors remain responsible for the direction, supervision and performance of the audits carried out by them. We remain solely responsible for our audit opinion.

We communicate with those charged with governance of the Holding Company and such other entities included in the Statement of which we are the independent auditors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit. We also provide those charged with



governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

We also performed procedures in accordance with the Circular No. CIR/CFD/CMD1/44/2019 dated March 29, 2019 issued by the Securities Exchange Board of India under Regulation 33 (8) of the Listing Regulations, to the extent applicable.

Other Matter

The accompanying Statement includes the audited financial results and other financial information, in respect of:

- 4 subsidiaries, whose financial statements include total assets of Rs. 20,366.82 millions as at March 31, 2023, total revenues of Rs. 5,168.34 Millions and Rs. 20,107.31 millions, total net profit after tax of Rs. (49.20 millions) and Rs. 187.02 millions, total comprehensive income of Rs. (111.14 millions) and Rs. 798.88 millions, for the quarter and the year ended on that date respectively, and net cash inflows of Rs. 461.07 millions for the year ended March 31, 2023, as considered in the Statement which have been audited by their respective independent auditors.

The independent auditor's report on the financial statements of these entities have been furnished to us by the Management and our opinion on the Statement in so far as it relates to the amounts and disclosures included in respect of these subsidiaries is based solely on the reports of such auditors and the procedures performed by us as stated in paragraph above.

The accompanying Statement includes unaudited financial results and other unaudited financial information in respect of:

- 1 subsidiary, whose financial statements and other financial information reflect total assets of Rs. 125.98 millions as at March 31, 2023, and total revenues of Rs. Nil and Rs. 149.37 millions, total net profit after tax of Rs. (4.88 millions) and Rs. 112.27 millions, total comprehensive income of Rs. (6.49 millions) and Rs. 116.33 millions, for the quarter and the year ended on that date respectively and net cash outflows of Rs. (1.79 millions) for the year ended March 31, 2023, whose financial statements and other financial information have not been audited by any auditor

These unaudited financial statements have been approved and furnished to us by the Management and our opinion on the Statement, in so far as it relates to the amounts and disclosures included in respect of the subsidiary, is based solely on such unaudited financial statements/ financial information. In our opinion and according to the information and explanations given to us by the Management, these financial statements/ financial information are not material to the Group.

Our opinion on the Statement is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the Financial Results/financial information certified by the Management.



S.R. BATLIBOI & ASSOCIATES LLP

Chartered Accountants

The comparative financial information of the Group for the corresponding quarter and for the year ended March 31, 2022, included in these consolidated financial results, were audited by the predecessor auditor who expressed an unmodified opinion on those consolidated financial information on May 18, 2022.

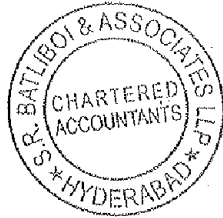
The Statement includes the results for the quarter ended March 31, 2023 being the balancing figures between the audited figures in respect of the full financial year ended March 31, 2023 and the published unaudited year-to-date figures up to the end of the third quarter of the current financial year, which were subjected to a limited review by us, as required under the Listing Regulations.

For S.R. BATLIBOI & ASSOCIATES LLP

Chartered Accountants

ICAI Firm Registration Number: 101049W/E300004

Navneet Kabra



per Navneet Kabra

Partner

Membership No.: 102328

UDIN: 23102328 BGS BMB 8763

Place: Hyderabad

Date: May 16, 2023



Rs in millions

Statement of Consolidated Audited Results for the quarter and year ended March 31, 2023

Sl No.	Particulars	Quarter ended			Year ended	
		31-Mar-23	31-Dec-22	31-Mar-22	31-Mar-23	31-Mar-22
		Audited (refer Note 5)	Un-Audited	Audited (refer Note 5)	Audited	Audited
	Income					
1	Revenue from operations	11,955.00	11,461.26	10,299.73	45,119.17	37,649.21
2	Other income	33.78	9.47	39.62	137.80	176.08
3	Total income (1+2)	11,988.78	11,470.73	10,339.35	45,256.97	37,825.29
	Expenses					
	(a) Cost of materials consumed	6,039.97	5,935.81	5,558.45	23,526.54	20,364.19
	(b) Changes in inventories of work in progress and finished goods	194.81	(18.27)	(297.93)	(453.66)	(1,527.80)
	(c) Employee benefit expenses	1,266.48	1,191.50	1,081.57	4,722.32	4,013.76
	(d) Finance costs	188.00	169.74	63.62	559.33	232.12
	(e) Depreciation and amortisation expense	487.06	483.64	401.81	1,844.94	1,586.32
	(f) Other expenses	2,172.58	2,039.30	2,030.66	8,185.77	7,576.69
	Total expenses	10,348.90	9,801.72	8,838.18	38,385.24	32,245.28
5	Profit before tax (3-4)	1,639.88	1,669.01	1,501.17	6,871.73	5,580.01
6	Tax expense					
	a) Current tax	473.30	506.41	424.70	1,771.80	1,382.05
	b) Deferred tax	(29.47)	(80.69)	(33.50)	(66.04)	70.35
	Total tax expense	443.83	425.72	391.20	1,705.76	1,452.40
7	Profit for the period (5-6)	1,196.05	1,243.29	1,109.97	5,165.97	4,127.61
8	Other comprehensive income (net of tax)					
	(a) (i) items that will not be reclassified to profit or loss	9.52	-	(10.43)	9.52	(10.43)
	(ii) income tax on (i) above	(2.40)	-	2.63	(2.40)	2.63
	(b) (i) items that will be reclassified to profit or loss	32.09	(166.04)	209.81	543.76	456.73
	(ii) income tax on (i) above	(23.96)	75.81	(18.24)	18.16	(48.17)
	Total other comprehensive income, net of tax	15.25	(90.23)	183.77	569.04	400.76
9	Total comprehensive income (7+8)	1,211.30	1,153.06	1,293.74	5,735.01	4,528.37
10	Profit for the period attributable to:					
	(i) Equity shareholders of the Company	1,196.05	1,243.29	1,109.97	5,165.97	4,127.61
	(ii) Non controlling interests	-	-	0.00	-	0.00
11	Total comprehensive income for the period attributable to:					
	(i) Equity shareholders of the Company	1,211.30	1,153.06	1,293.74	5,735.01	4,528.37
	(ii) Non controlling interests	-	-	0.00	-	0.00
12	Paid-up equity share capital (Face Value of Rs. 1/- per share)	242.04	242.04	248.01	242.04	248.01
13	Other equity excluding Non-controlling interest				28,107.05	25,617.36
14	Earnings per share (Face value Rs. 1/- each)					
	(a) Basic (in Rs.)	4.94	5.11	4.48	21.05	16.66
	(b) Diluted (in Rs.)	4.93	5.10	4.46	21.00	16.60
		(Not annualised)	(Not annualised)	(Not annualised)	(Annualised)	(Annualised)



Consolidated Statement of Assets and Liabilities :		Rs in millions	
Sl.No.	Particulars	As at March 31,2023 Audited	As at March 31, 2022 Audited
I	ASSETS		
	Non-current assets		
	a) Property, plant and equipment	15,581.45	12,711.75
	b) Right-of-use assets	732.20	125.46
	c) Capital work-in-progress	2,280.44	3,119.18
	d) Other intangible assets	2,795.52	2,574.53
	e) Intangible assets under development	113.42	443.13
	f) Financial assets		
	i) Investments	212.10	196.68
	ii) Loans	-	29.80
	iii) Others	148.49	127.30
	g) Deferred tax assets	14.28	13.74
	h) Income tax assets (net)	111.54	117.04
	i) Other non-current assets	1,314.72	620.55
	Total non-current assets	23,304.16	20,079.16
	Current assets		
	a) Inventories	11,494.10	9,785.51
	b) Financial assets		
	i) Trade receivables	9,485.42	9,249.54
	ii) Cash and cash equivalents	2,915.57	1,847.14
	iii) Bank balances other than cash and cash equivalents above	212.33	2,247.43
	iv) Loans	-	72.29
	v) Other financial assets	31.67	29.78
	c) Other current assets	1,602.39	1,818.16
	Total current assets	25,741.48	25,049.85
	TOTAL ASSETS	49,045.64	45,129.01
II	EQUITY AND LIABILITIES		
	Equity		
	a) Equity share capital	242.04	248.01
	b) Other equity	28,107.05	25,617.36
	Total equity attributable to equity shareholders of parent	28,349.09	25,865.37
	Non-controlling interests	-	5.57
	Total equity	28,349.09	25,870.94
	Liabilities		
	Non-current liabilities		
	a) Financial liabilities		
	i) Borrowings	1,486.44	2,337.01
	ii) Lease liabilities	706.02	82.81
	b) Provisions	292.56	283.10
	c) Deferred tax liabilities (net)	76.52	139.15
	Total non-current liabilities	2,561.54	2,842.07
	Current liabilities		
	a) Financial liabilities		
	i) Borrowings	9,099.78	8,590.57
	ii) Lease liabilities	70.11	52.73
	iii) Trade payables		
	(a) Total outstanding dues of micro enterprises and small enterprises	115.15	126.48
	(b) Total outstanding dues of creditors other than micro enterprises and small enterprises	7,706.10	6,259.60
	iv) Other financial liabilities	719.33	855.75
	b) Other current liabilities	151.45	165.25
	c) Provisions	146.16	228.32
	d) Income tax liabilities (net)	126.93	137.30
	Total current liabilities	18,135.01	16,416.00
	Total liabilities	20,696.55	19,258.07
	TOTAL EQUITY AND LIABILITIES	49,045.64	45,129.01



Statement of Consolidated cash flows :		Rs in millions	
		For the year ended March 31, 2023	For the year ended March 31, 2022
		Audited	Audited
Cash flow from operating activities			
Profit before tax		6,871.73	5,580.01
<i>Adjustments for</i>			
Depreciation and amortisation expense		1,844.94	1,586.32
Bad debts written off		0.54	0.01
Allowance for doubtful trade receivables		(5.07)	(6.11)
Allowance for doubtful advances		14.41	-
Allowance for scrips on hand		-	22.60
Loss on sale of property, plant and equipment (net)		13.71	47.83
Changes in fair value of cashflow hedges		72.85	112.12
Net gain on foreign exchange fluctuations (unrealised)		(91.55)	(119.66)
Share based payment expense		12.89	16.22
Interest expense		559.33	232.11
Interest income		(45.14)	(128.54)
Operating profit before working capital changes		9,248.64	7,342.91
<i>Movements in working capital:</i>			
Increase in trade receivables		(0.77)	(1,311.27)
Increase in inventories		(1,354.67)	(1,840.27)
(Increase)/decrease in other assets		160.68	(160.07)
Increase in trade payables, other liabilities and provisions		1,091.65	739.75
Cash generated from operations		9,145.53	4,771.05
Direct taxes paid (net of refunds)		(1,758.04)	(1,450.49)
Net cash generated from operating activities	(A)	7,387.49	3,320.56
Cash flow used in investing activities			
Purchase of property, plant and equipment, intangible assets including capital work-in-progress, intangible assets under development, capital advances and payables for capital goods		(4,106.77)	(3,977.07)
Proceeds from sale of property, plant and equipment		2.12	9.79
Redemption of bank deposits, net		2,034.77	44.77
Loans repaid		105.71	-
Interest received		50.54	121.36
Net cash used in investing activities	(B)	(1,913.63)	(3,801.15)
Cash flow from/(used in) financing activities			
Proceeds from issuance of equity shares		27.84	37.07
Repayment of Noncontrolling interest		(4.96)	-
Repayment of non current borrowings		(930.86)	(954.78)
Proceeds of current borrowings, net		459.94	3,485.19
Repayment of lease liability (including related interest)		(129.48)	(54.03)
Payment towards buyback transaction cost		(3,106.50)	-
Interest paid		(532.66)	(241.78)
Dividend paid on equity shares		(186.22)	(371.71)
Net cash (used in)/generated from financing activities	(C)	(4,402.90)	1,899.96
Net increase in cash and cash equivalents	(A+B+C)	1,070.96	1,419.37
Effect of exchange differences on translation of foreign currency cash and cash equivalents		(2.53)	9.41
Cash and cash equivalents at the beginning of the year		1,847.14	418.36
Cash and cash equivalents at the end of the year		2,915.57	1,847.14

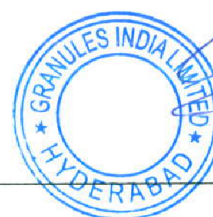
Note: The above Statement of Cash flows has been prepared under the 'Indirect Method' as set out in Ind AS 7, 'Statement of Cash Flows'

Notes:

- The above consolidated audited financial results for the quarter and year ended March 31, 2023 have been reviewed by the Audit Committee on May 15, 2023 and approved by the Board of Directors at their meeting held on May 16, 2023. The Statutory Auditors have expressed an unmodified opinion on these results.
- The consolidated audited financial results of Granules India Limited ("Company") and its subsidiaries (together referred to as "Group") have been prepared in accordance with the Indian Accounting Standards prescribed under section 133 of the Companies Act, 2013 ("the Act") read with relevant rules issued thereunder ("Ind AS") and other accounting principles generally accepted in India and in terms of Regulation 33 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.
- The subsidiaries considered for the consolidation for the quarter and year ended March 31, 2023 are Granules USA Inc., Granules Pharmaceuticals Inc., Granules Europe Limited, Granules Life Sciences Private Limited, Granules CZRO Private Limited (formerly known as CZRO Molecules Private Limited) and Granules Consumer Health, Inc. (Step-down subsidiary) (together referred to as "Subsidiaries").
- The Group operates in one reportable business segment of Pharmaceutical products including ingredients and intermediaries.
- The figures for the quarters ended March 31, 2023 and March 31, 2022 are the balancing numbers between audited figures in respect of the full financial years and the published unaudited year to date figures upto the end of the third quarter of the relevant financial year, which are subjected to limited review.
- The Board of Directors at their meeting held on May 16, 2023 have recommended final dividend of Rs. 1.50/- per equity share of Rs. 1/- each.
- During the year, the Group has allotted 286,980 equity shares of Rs. 1/- each, fully paid up on exercise of options by employees in accordance with the Company's Employee Stock Option Scheme(s).
- During the year, the Group has bought back 6,250,000 equity shares of Rs. 1/- each, representing 2.52% of total number of equity share fully paid-up for an aggregate amount of Rs. 2,500 millions (excluding taxes and transaction cost) at Rs. 400 per share.

for and on behalf of the Board

Place : Hyderabad
Date : May 16, 2023



Dr. Krishna Prasad Chigurupati
Chairman and Managing Director
DIN : 00020180